

Fearnleys Tanker Market Wrap-up Oct 2024

Oct 31, 2024

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Still some absorbing to do

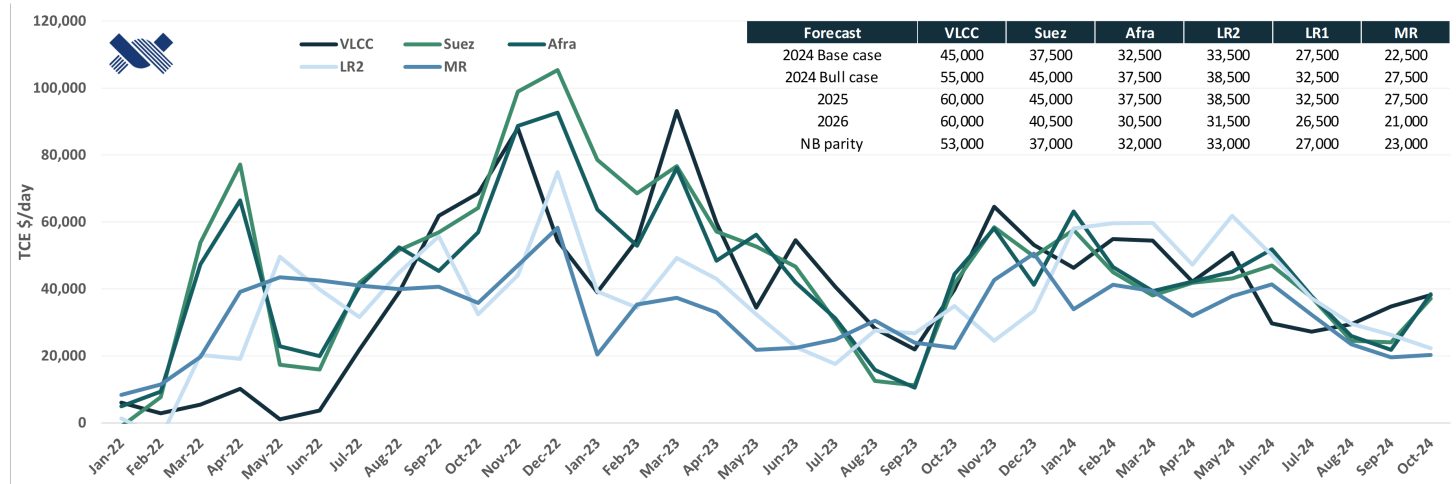
Summary and outlook

So, what is missing? Although it is 'only' the end of October, the anticipated winter market has so far underwhelmed, somewhat in line with softer oil demand growth. Still, it is not entirely clear why, as tanker demand has increased more than rates would suggest.

The latest leg down for oil prices could on the delta help - after all there is no cure for low oil prices like low oil prices.

Although the Q4 average will now most likely end up well below earlier estimates, we believe it is too early to write of the winter market and 2025 just yet. It does take some time before increased volumes work through any excess position lists, further supply increases are expected, and remember that wall of Non-OPEC+ crude oil supply coming next year.

Rates and forecast



Source: Fearnleys, Baltic Exchange

Recent development - 'Lies, damn lies, and statistics'

Rates have risen slightly over the last month, although not as much as expected. Looking at the statistics, Mark Twain could be excused for having difficulties in understanding figures in the tanker market too.

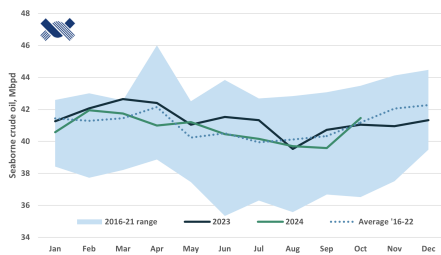
Preliminary volume and tonne-mile estimates for October indicate a solid increase in tanker demand, especially for crude tankers, and as fleet growth remains negligible we are surprised that rates have not reacted more to the upside. That said, it may take some time before any oversupply that has built over the seasonally slower period can be fully absorbed. The Libya outage probably delayed this process vs. the normal season.

Libya's comeback meaningfully boosted Suez- and Aframax volumes and this was also where the biggest rate gains were posted. We would have expected this comeback to give a greater West-East arb. to also further boost demand for the biggest tankers, but this has only partially happened. There are now, however, some more indications of a saturated crude oil market in the Atlantic which all else equal should tilt pricing toward the favour of more long-haul shipments.

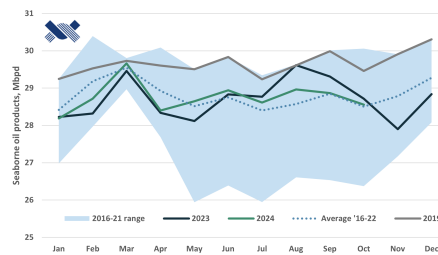
Product tanker volumes have taken a hit as low refinery margins have led to run cuts. Similarly, amid these lower margins the necessary arbitrages have not been there to boost freight, although the U.S. hurricanes did spark some (short-term) life.

After the very strong start to the year, rates have overall declined sufficiently lately so that our base case forecast for the full year is increasingly likely, as a market average - rates YTD are on a dwt. weighted average 6% above that base case.

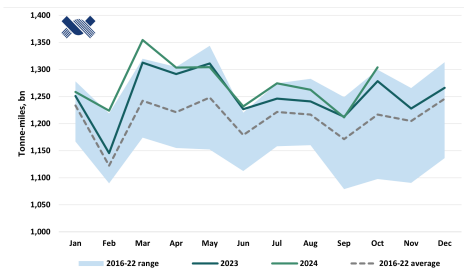
Seaborne crude oil volumes



Seaborne oil product volumes



Total tanker tonne-mile demand



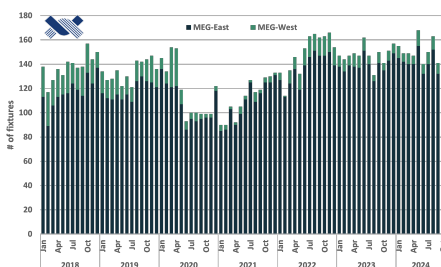
Source: Fearnleys, Vortexa

For the biggest vessels we have seen MEG volumes ramp up more or less as expected, apart from the smaller portion of Saudi Arabian exports which has shifted from the MEG to the Red Sea. There should be slight further seasonal upside in coming months, and going into next year a gradually increased production quota (300 kbpd) for the UAE and possibly broader OPEC+ cut reversal at a later stage.

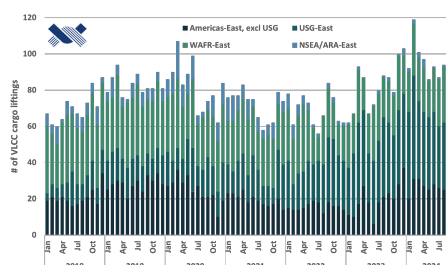
Atlantic-East movement, however, has been slower due to a lacking West-East arb. With Libya now back and relatively higher inventories in Europe than other regions we would expect this trend to turn going forward. There are indications that the Atlantic basin is near saturated for some crude oil grades (coupled with more products coming inbound), which either means more U.S. inventory builds (no need for it in theory with shale now being the real SPR) or more flows to other regions. With refinery margins in the East having improved somewhat lately and increased Chinese crude oil import quotas into next year, we believe that directionally, West-East trade flow will increase.

Another thing to note, re. China, is that the the non-Chinese controlled portion of MEG-China fixtures has declined substantially over the last two months, which has most likely contributed to add pressure on rates for the few open market cargoes that have been there. This may continue, and change the dynamic against non-Chinese owners in the MEG, although could open up more opportunities to push for better rates elsewhere.

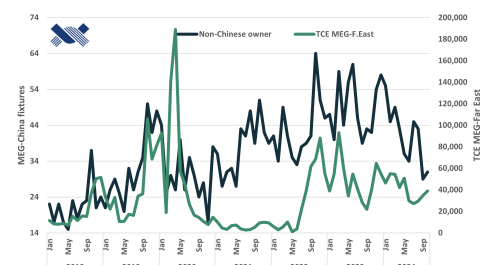
Monthly MEG VLCC loadings



Monthly Atlantic VLCC loadings



MEG-China cargoes non-Chinese ships vs. TCE



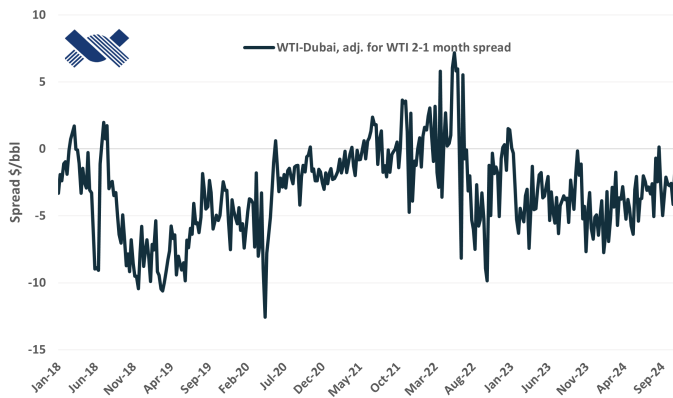
Source: Fearnleys

The West-East arbitrage has improved slightly in recent weeks, after having been closed much of the last few months, although is still not quite wide enough to spark a significant boost to long-haul activity. Preliminary November counts suggest a slight tick up in Atlantic VLCC loadings, even from the North Sea.

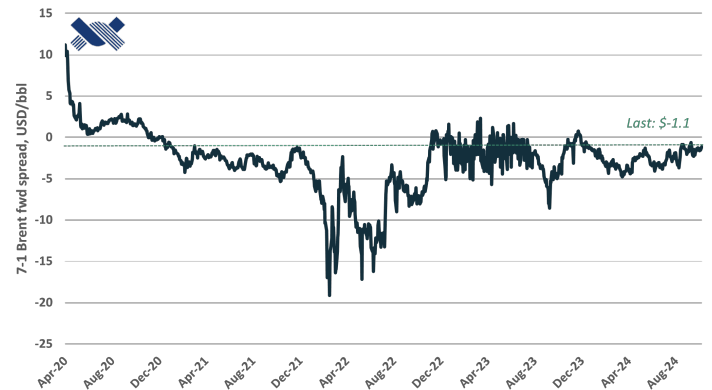
For now, slightly lower than expected production in the Americas, slightly better demand in the U.S. and slightly lower than expected demand in the East seem to prevent a full reopening of the West-East arb. The crude forward curves

remain backwardated, and even the recent oil price sell-off has hardly changed the shape of the forward curve - as inventories keep drawing. The expected growing surplus of crude into next year should change this and boost big parcel and long-haul economics.

WTI-Dubai spread, less WTI 2-1 month forward spread



Brent 7-1 month forward spread



Source: Bloomberg

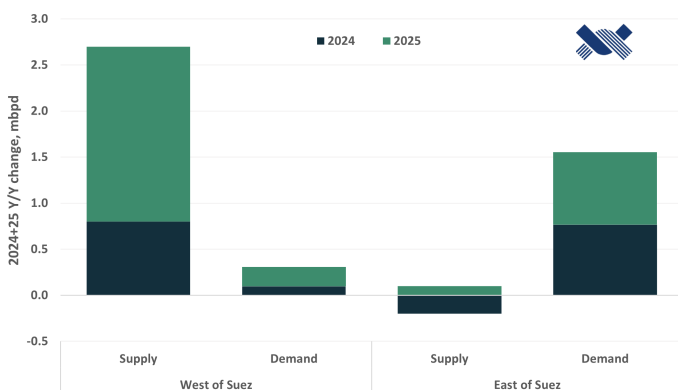
Oil market development suggest more tanker demand to come

Next year, the IEA expects non-OPEC+ supply growth of 1.5 mbpd, with 1.3 mbpd of that originating from the Americas. While we think the IEA may still be too optimistic on the U.S. at 400 kbpd, there should still be plentiful additions for a solid crude tanker demand push.

The EIA expects most of next year's production increase to come in Q2 and Q3, which could smoothen the seasonal pattern somewhat vs. normal. The IEA expects the supply push to come already from Q1, so some discrepancy where the biggest difference lies in U.S. output.

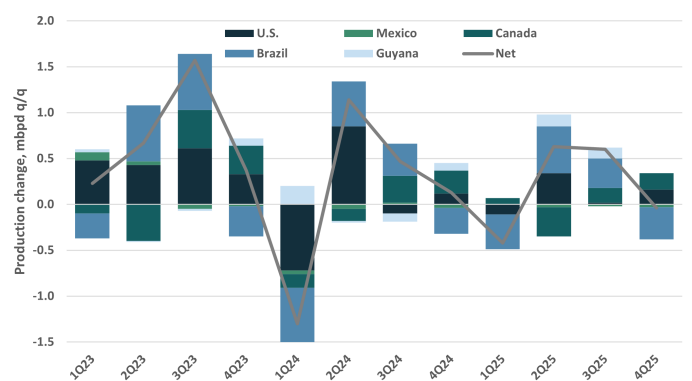
Both agencies, however, suggest a 500+ kbpd production increase for non-OPEC+ over the remaining couple of months this year.

Oil supply vs. demand growth by basin



Source: IEA, EIA

Americas crude oil supply growth q/q

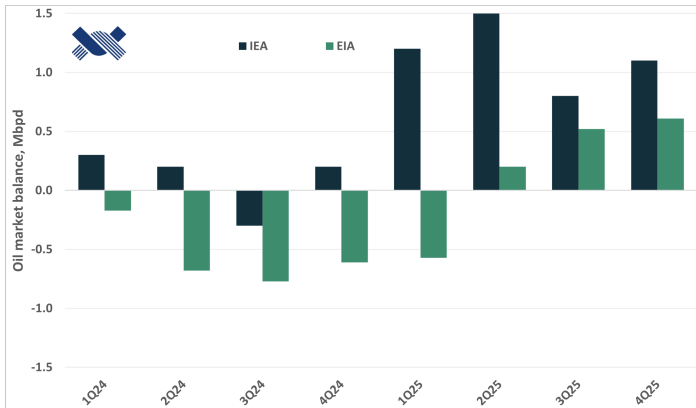


What may be the difference between a good and a great year for owners next year is the OPEC+. If the group does follow through with a gradual 2.2 mbpd unwind of cuts next year risk is well on the upside vs. our forecast. We should get the answer in early November, but with the latest sell-off for oil prices, further delay appears likely and 'sources' suggest a

month's or more) delay will take place. Waiting one more month also gives the group the appearance of not interfering with the U.S. election. However, waiting one month puts a prospective cut reversal into the seasonally weaker Q1 - which seems unlikely.

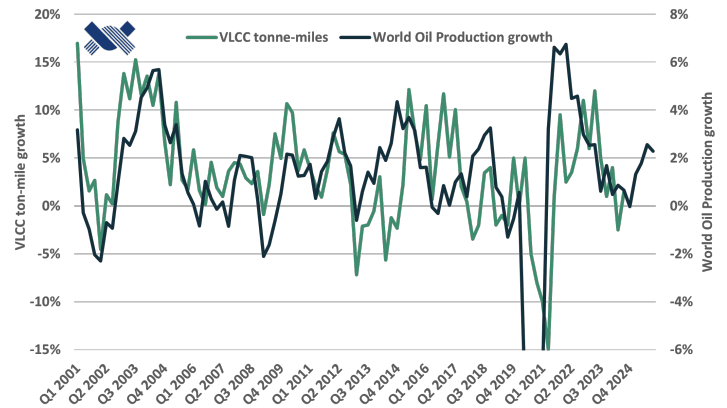
As indicated below, there is probably not an oil market balance which supports an unwind next year, although lower oil prices (which are likely to follow any supply hike) usually stimulates demand.

Implied oil market balance



Source: IEA, EIA, Fearnleys, Vortexa

Crude oil supply change vs. VLCC tonne-miles

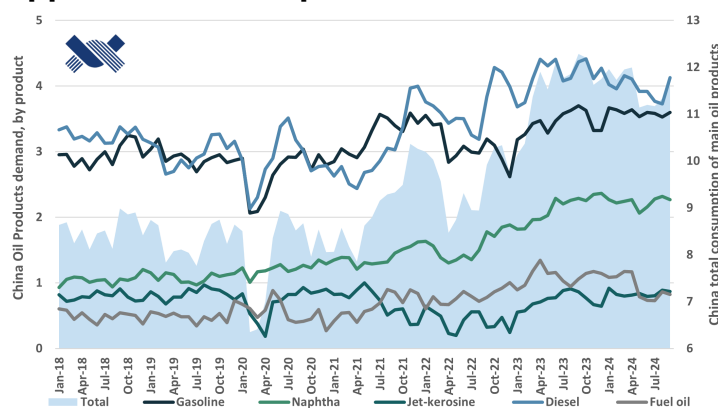


Similarly, Chinese oil demand holds some of the key to the tanker market development. Over the last few months demand has disappointed vs. market expectations, although September data showed some improvement and YTD demand remains up 0.8% vs. last year with jet fuel and naphtha leading the way.

Apparent oil demand increased by 3.2% m/m in September, although was 4.9% lower than the same month last year. Notably, the biggest gainer m/m was diesel. The main reason for recent diesel demand weakness may be more a function of low industrial activity than the widely cited switch from diesel to gas fuelled trucks. The LNG/CNG market share of the total truck fleet is miniscule. Regardless, current lower diesel prices and higher gas price may lead to a switch back..

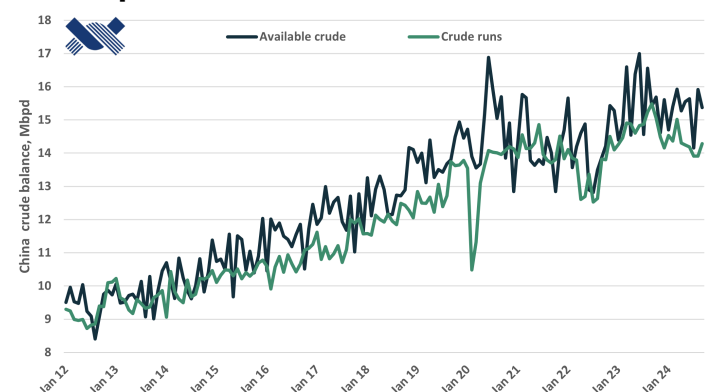
It will be interesting to see in coming months whether recent (and expected) government stimulus will have an effect - a slight increase in Chinese crack spreads (gasoil is now back to 'normal'), and some indications of increased industrial activity (more pollution etc.) could be positive signs. October manufacturing PMIs were back in expansionary territory for the first time since April. Increased crude oil imports quotas for next year should be utilised and underpin tanker demand.

Apparent main oil products demand



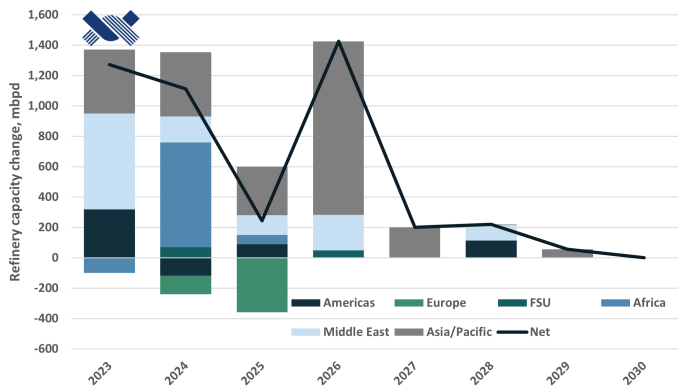
Source: Argus

Still implied crude oil stock builds



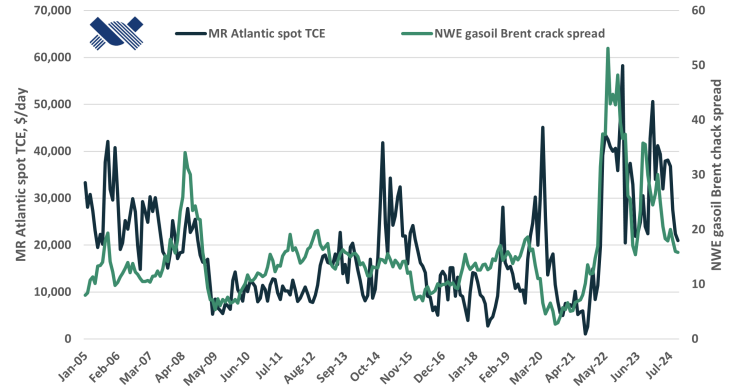
For product tankers the demand outlook is not as benign as for crude. Lately, volumes have been negatively impacted by low margins and run cuts, and looking into next year, run estimates have been significantly lowered. Next year, 'only' 250 kbpd of capacity additions are expected, from 1.1 mbpd this year. With most additions being closer to where end-user demand is also likely to grow the most, there may not be a whole lot of distance delta for tonne-miles either. From a capacity addition standpoint, 2026 looks better, although by then fleet growth will have picked up meaningfully.

Refinery capacity additions



Source: IEA, Bloomberg, Baltic Exchange

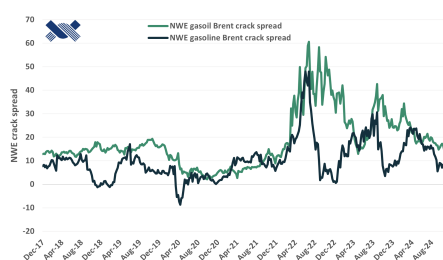
NWE refinery margins vs. Atlantic MR rates



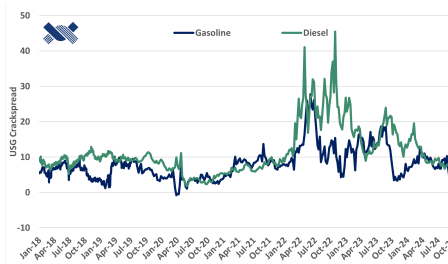
Refinery margins globally have normalised, after solid volatility to the upside the last two years. This signals slightly weaker oil demand growth and has led to extended maintenance and run cuts recently.

Margins in the West have hardly moved the last few weeks, but in China there has been some improvement for gasoil again. The latter is more in line with what we hear about trucks potentially switching back to diesel and some anecdotal evidence of an industrial recovery amid increased government stimulus. It is too early to tell still, but if sustained this could hold some key for increased crude oil flows into Asia.

Northwest Europe crack spreads



U.S. Gulf crack spreads



China crack spreads



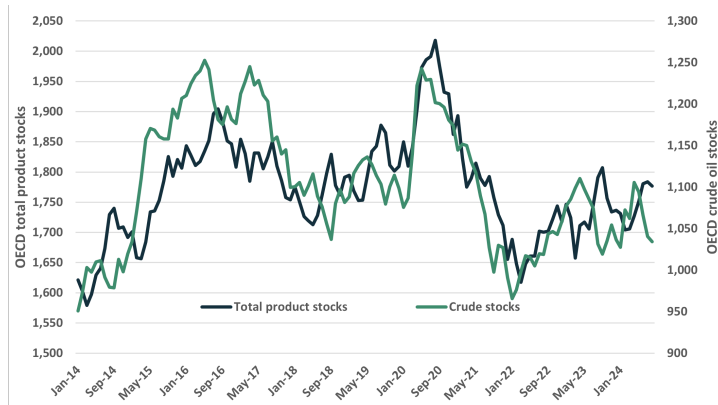
Source: Bloomberg, EIA, Argus

Partly underlining this is also inventories, where products have built while crude oil has drawn recently. While overall OECD stocks have developed relatively sideways YTD, crude oil stocks have declined marginally, and products have built by 40 mb.

Another interesting split, European inventories have built relatively more than most other regions globally. This may suggest less of a demand pull from other Atlantic crude exporters going forward than has been the case until now. There is an abnormally large amount of seaborne diesel/gasoil incoming, which may dampen European fuel demand. This is something to watch re. the West-East arbitrage, and we may expect to see more NSea-East loadings to come.

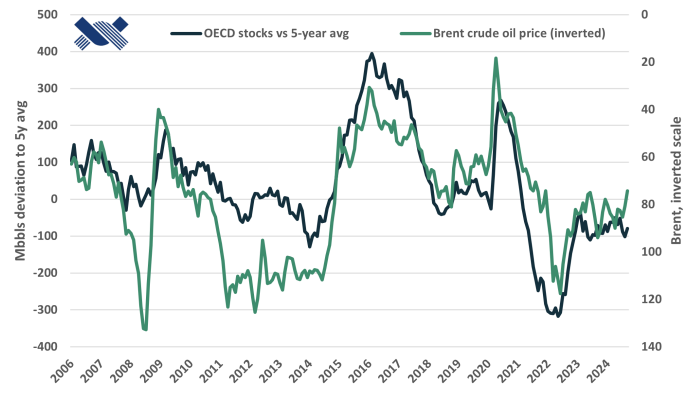
Looking at OECD inventories vs. the 5-year average, one might argue that oil prices should be higher. This could, however, just be a reflection of the expected oversupply next year.

OECD inventory split



Source: IEA

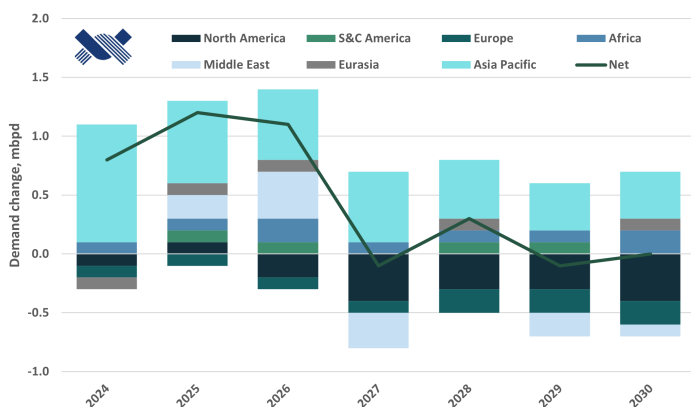
OECD inventories vs. 5-year avg. and Brent



Global oil supply excluding Iran has disappointed vs. forecasts this year, although both the IEA and EIA expect more to come in the final two months of the year (EIA has non-OPEC+ growing by 0.7 mbpd). Especially U.S. production growth has been lower than earlier estimated - but here again there are expectations of a ~200 kbpd increase near-term.

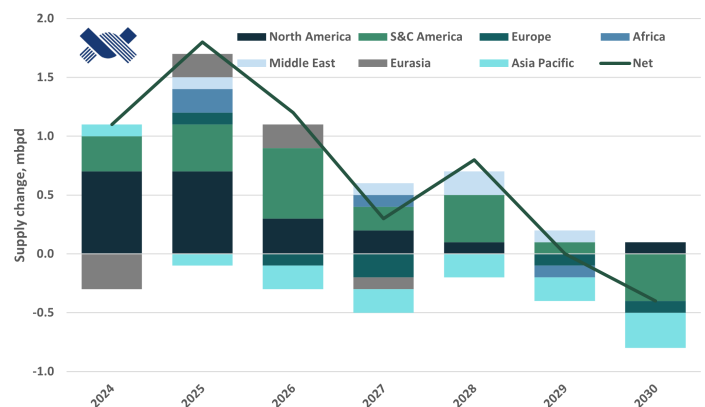
Looking into the next couple of years a larger share of oil production growth is expected to come from Latin America vs. the northern part of the Americas which should lend greater support to tanker tonne-miles vs. this year. Re. the IEA's forecasts below, U.S. Supply growth estimates may still be too high, but that still leaves around 1.5 mbpd of global supply upside even if the OPEC+ leaves production unchanged. It is not until 2027 that oil supply growth could become so small that it should be a greater worry for tanker demand vs. increasing fleet growth (although 2026 may see a gradually softening market balance).

Oil demand growth by year and region



Source: IEA

Oil supply growth by year and region



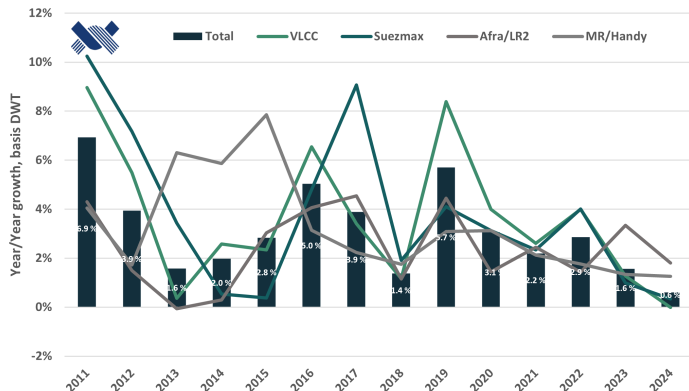
Fleet development

Fleet growth YTD has been very low, despite virtually no scrapping. Deliveries are scheduled to increase next year, especially for product tankers, albeit nothing dramatic when looking at the overall picture and factoring in fleet inefficiencies amid new regulations.

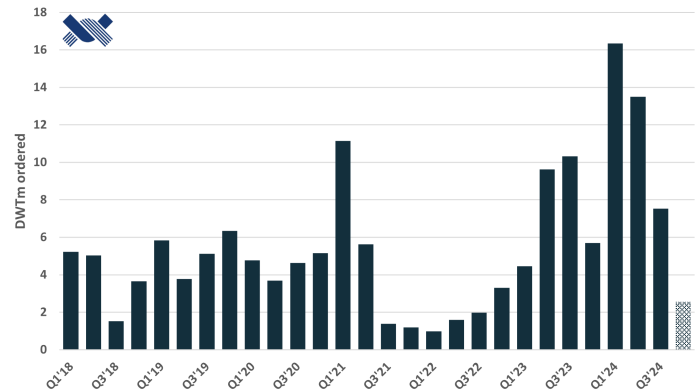
With the softening sentiment in recent weeks and months, it appears that the YTD newbuild ordering drive has lost

steam. The run-rate in Q4 to date is by far the slowest since rates took off in 2022. Still, there has been enough of an order intake so that 2026 and 2027 supply growth likely means softer tanker rate development, but still not 'off the cliff' as ageing tonnage will be offsetting.

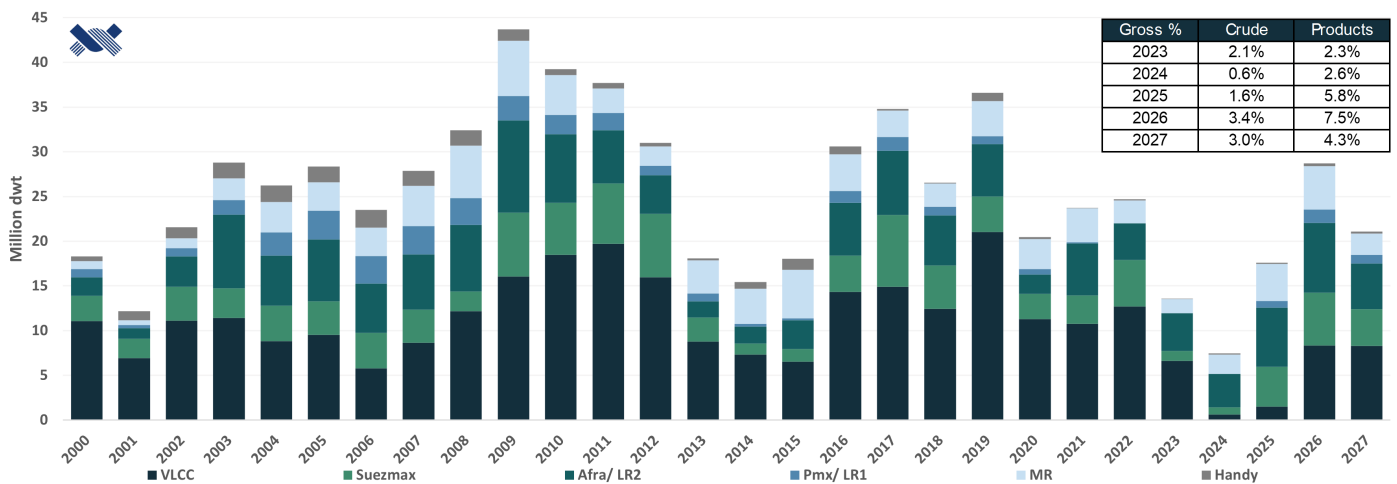
Fleet growth by segment



Ordering by quarter



Tanker deliveries

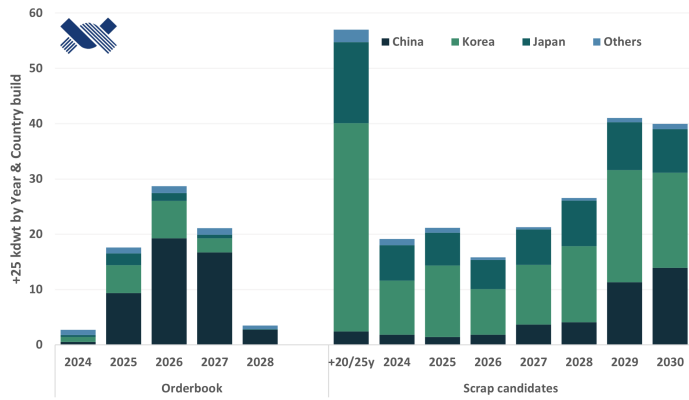


Source: Fearnleys

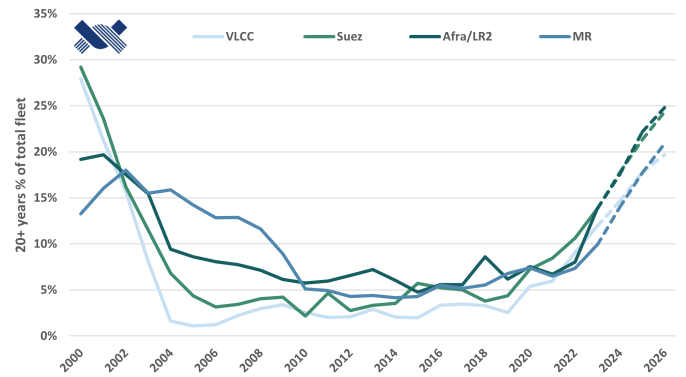
The vast portion of the fleet which is closer to historical average scrap age is likely to limit rate downside and actual fleet growth in coming years.

Sure, the vast majority of vessels already around historical scrap age has been absorbed by the shadow markets. Interestingly, the U.S. OFAC has blacklisted a number of tankers recently, most of which were already on our shadow lists. The VLCCs which have already been blacklisted for a while, have on average 'only' lifted 1.7 cargoes each YTD. The 13 newly sanctioned VLCCs (and other non-OFAC listed VLCCs on our shadow lists) had on average lifted 3 or more. If the latter 13 will experience a similar drop in utilization, that equates to a 'phase-out' of almost six VLCCs. At 0.7% of the VLCC fleet, that is not huge, but still nearly equals the total seven VLCCs scheduled for delivery this and next year... More importantly, watch out for potential further OFAC updates – if these become more widespread, it could have greater market implications.

Orderbook vs. phase-out potential



Share of the fleet which is 20+ years old



Source: Fearnleys



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